

I) In my opinion and to the best of my information and according to the explanations given to me, the said accounts give the information required by the Companies Act, 1956, in the manner so required;

i. In the case of Balance Sheet of the State of Affairs of the Company as at March 31, 2012;

ii. In the case of the profit and loss account, of the Profit for the year ended on that date; and

iii. In the case of the cash flow statement for the year ended on that date.

03-11-12
Chennai

N.Subramanian
Chartered
Accountant
Mem. No. 21628

BALANCE SHEET AS AT MARCH 31, 2012

	Note No.	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
I. EQUITY AND LIABILITIES		in Rs.	in Rs.
(1) Shareholders' Funds			
(a) Share Capital	2	26,500,000	1 25 00 000
(b) Reserves and Surplus	3	(25 53 009)	(76 72 483)
(2) Share application money pending allotment		NIL	NIL
(3) Non-Current Liabilities			
(a) Long Term borrowings	4	NIL	42 41 135
(b) Deferred tax liabilities (Net)		NIL	NIL
(c) Other Long term liabilities		NIL	NIL
(d) Long-Term Provisions	5	NIL	NIL
(4) Current Liabilities			
(a) Short Term Borrowings	6	15,000	NIL
(b) Trade Payables		NIL	NIL
(c) Other Current Liabilities	7	538,060	6 07 376
(d) Short-Term Provisions	8	NIL	5 66 607
TOTAL		24,500,061	1 02 42 635
II. ASSETS			
(1) Non-Current Assets			
(a) Fixed Assets			
(i) Tangible Assets	9	NIL	NIL
(ii) Intangible Assets		5,562,573	5,562,573
(b) Non-Current Investments	10	8,400,001	NIL
(c) Deferred tax assets (net)		NIL	NIL
(d) Long term Loans and advances	11	NIL	NIL
(e) Other non-current assets		NIL	NIL
(2) Current Assets			
(a) Current Investments		NIL	NIL
(b) Inventories		NIL	NIL
(c) Trade Receivables	12	7,924,016	4,429,016
(d) Cash and cash equivalents	13	2,613,491	14,103
(e) Short-Term Loans and advances	14	NIL	235,943
(f) Other Current assets		NIL	NIL
TOTAL		24,500,061	1 02 42 635
Significant Accounting Policies	1		

Note 1 to 16 and 26 form an integral part of this Balance Sheet.
Vide my report of even date attached

03-11-12
Chennai

V. Lavakumar
Managing Director

Rajendra
V.Nani
Wadekar
Director

N.Subramanian
Chartered
Accountant
Mem. No. 21628

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED MARCH 31, 2012

(Amount in Rs.)

Particulars	Note	31.3.2012	31.3.2011
I. Revenue from Operations	15	34 95 000	NIL
II. Other Income	16	NIL	26 27 744
III. Total Revenue (I+II)		34 95 000	25 27 744
IV. Expenses :			
Cost of materials consumed	17	NIL	NIL
Purchases of Stock-in-Trade		NIL	NIL
Changes in inventories of finished goods, work-in-progress and Stock-in-Trade		NIL	NIL
Employee benefits expense	18	9 16 000	13 17 977
Finance Costs	19	2 724	9 310
Depreciation and amortization expense		NIL	24 817
Other expense	20	44 56 802	21 71 667
Total Expenses		53 75 526	35 23 771
V. extraordinary items and taxes (III-IV)		(18 80 526)	(9 96 027)
VI. Exceptional Items		NIL	NIL
VII. taxes (V-VI)		(18 80 526)	(9 96 027)
VIII. Extraordinary Items		NIL	NIL
IX. Profit before Tax (PBT) (VII-VIII)		(18 80 526)	(9 96 027)
X. Tax Expense			
Less: Provision for Tax		NIL	NIL
Less: Deferred Tax Liability		NIL	NIL
XI. continuing operations		(18 80 526)	(9 96 027)
XII. Profit/(loss) for the period		(18 80 526)	(9 96 027)
XIII. Earnings per equity share			
(1) Basic		1.03	0.80
(2) Diluted		1.03	0.80

Note 1, 16 to 26 form an integral part of this Statement of Profit and Loss

Vide my report of even date attached

03-11-12
Chennai

V. Lavakumar
Managing Director

Rajendra
V.Nani
Wadekar
Director

N.Subramanian
Chartered
Accountant
Mem. No. 21628

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2012

PARTICULARS	31.03.2012		31.03.2011	
	Amount (Rs.)	Amount (Rs.)	Amount (Rs.)	Amount (Rs.)
Cash Flow from Operating Activities				
Net Profit Before Tax and Extraordinary Items	(18 80 526)		(9 96 027)	
Adjustments For -				
Depreciation	NIL		24 817	
Interest Expenses	NIL		NIL	
Operating Profit before Changes in Working Capital		(18 80 526)		(9 71 210)
(Increase)/ Decrease in Working Capital				
Inventories - (Increase)	NIL		30 470	
Sundry Debtors - (Increase)	3,405,020		8,496,135	
Leases and Advances - (Increase)	236,943		2 01 600	
Other current assets - (Increase)	NIL		NIL	
Current Liabilities and Provisions - (Decrease)	628,893		(79 32 261)	
Net Cash Flow from Operating Activities		(57 59 476)		(1 75 865)
Cash Flow from Investing Activities				
Purchase of Fixed Assets	NIL		1 15 871	
Long term Investments	(84 03 001)		NIL	
Interest income	NIL		NIL	
Net Cash Flow from Investing Activities		(84 03 001)		1 15 671
Cash Flow from Financing Activities				
Receipts from Issue of Equity Shares	210 00 000		NIL	
Receipts from Short-Term Borrowings	NIL		NIL	
Repayment of Long-Term Borrowings	(42 41 135)		NIL	
Repayment of Short-Term Borrowings	NIL		61 308	
Interest paid on Long-Term Borrowings	NIL			
Repayment of Long term provision				
Net Cash Flow from Financing Activities		167 58 865		61 308
(A)+(B)+(C)		2,599,388		1 313
year		14,103		12 790
Cash and Cash Equivalents at the end of the year		2 613,401		14,103

vide my report of even date attached

03-11-12 V. Lavakumar
Chennai Managing Director

Rajendra N. Subramanian
V. Nani Chartered
Wadekar Accountant
Director Mem. No. 21628

NOTES FORMING PART OF BALANCE SHEET AS AT 31.03.2012

2.(A) Share Capital

Particulars	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
(a) Authorised Share Capital		
50,00,000 (Previous Year: 20,00,000)	50,000,000	20,000,000
Equity Shares of Rs.10/- each		
(b) Issued & Subscribed Share Capital		
26,50,000 (Previous Year: 12,50,000)	26,500,000	12,500,000
Equity Shares of Rs.10/- each		
(c) Paid-up Share Capital		
26,50,000 (Previous Year: 12,50,000)	26,500,000	12,500,000
Equity Shares of Rs.10/- each fully paid up		
Total	26,500,000	12,500,000

2.(B) Reconciliation of number of equity shares outstanding at the beginning and at the end of the year

Particulars	Year ended 31.03.2012	Year ended 31.03.2011
Number of shares outstanding as the beginning of the year	1,250,000	1,250,000
Number of shares outstanding as at the end of the year	2,650,000	1,250,000

3. Reserves and Surplus

Particulars	As at 31.03.2012 Rs.	As at 31.3.2011 Rs.
(a) Capital Reserves	13,500	13,500
(b) Share Premium	7,000,000	
	7,013,500	13,500
(c) General Reserve		
Opening Balance		
Closing Balance		
(d) Surplus		
Balance of Loss brought forward	(76 85 983)	(66 89 956)
Add: Loss for the period	(18 80 526)	(9 96 027)
	(95 66 509)	(76 85 983)
Less: Allocation/Appropriation		
Balance carried to Balance Sheet	(95 66 509)	(76 85 983)
Total	(25 53 009)	(76 72 483)

4. Long Term Borrowings

Particulars	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
(A) SECURED LOANS	NIL	NIL
(B) UNSECURED LOANS		
From Directors & Relatives	NIL	4,241,135
Total	NIL	4,241,135

Particulars	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
5. Long-Term Provisions		
Provision for Income Tax, FBT and Wealth tax	NIL	566,607
Total	NIL	5 66 607

6. Short Term Borrowings

(A) SECURED LOANS	NIL	NIL
(B) UNSECURED LOANS		
From Directors	15 000	NIL
Total (B)	15 000	NIL
Total	15 000	NIL

7. Other Current Liabilities

Creditors For Expenses	38,090	551,756
Creditors For Others	500,000	55,620
Total	538,090	607,376

8. Short-Term Provisions

Provision for income tax	NIL	566,607
Total	NIL	566,607

9. Fixed Assets - Intangibles

Particulars of Assets	GROSS BLOCK			DEPRECIATION			NET BLOCK	
	As at 01-04-2011	Additions	As at 31-03-2012	Up to 31-03-2011	Rate	For the year	Up to 31-03-2012	As at 31-03-2012
Technical Know-how Fees	5,562,573		5,562,573	-	-	-	-	5,562,573
Grand Total	5,562,573	-	5,562,573	-	-	-	-	5,562,573
PREVIOUS YEAR	5,778,791	(216,218)	5,562,573	75,529	-	24,817	-	5,703,261

10. Non-Current Investment

Particulars	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
Investments - Trade - At cost		
Share Application money paid to companies.	8,400,001	NIL
Total	8,400,001	NIL

11. Long-Term Loans And Advances

(A) Capital Advances	NIL	NIL
(B) Security Deposits		
(i) Secured, Considered good	NIL	NIL
(ii) Unsecured, Considered good	NIL	NIL
(iii) Doubtful	NIL	NIL
Less: Allowance for bad and doubtful advances	NIL	NIL
Total (B)	NIL	NIL
(C) Loans and advances to related parties	NIL	NIL
(D) Other Loans and Advances		
(i) Secured, Considered good	NIL	NIL
(ii) Unsecured, Considered good	NIL	NIL
(iii) Doubtful	NIL	NIL
Less: Allowance for bad and doubtful advances	NIL	NIL
Total (E)	NIL	NIL
Total [(A)+(B)+(C)+(D)]	NIL	NIL
officers of the company or any of them either severally or jointly with others or by firms or private companies respectively in which any director is a partner or a director or member	NIL	NIL

Particulars	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
12. Trade receivables		
(A) Outstanding for a period exceeding six months from the date they are due for payment:		
(i) Secured, Considered good	NIL	NIL
(ii) Unsecured, Considered good	NIL	NIL
(iii) Doubtful	NIL	NIL
Less: Allowance for bad and doubtful debts	NIL	NIL
TOTAL (A)	NIL	NIL
(B) Others		
(i) Secured, Considered good	NIL	NIL
(ii) Unsecured, Considered bad	7,924,016	4,429,016
Other Debts	NIL	NIL
Less: Allowance for bad and doubtful debts	NIL	NIL
TOTAL (B)	7,924,016	4,429,016
Total	7,924,016	4,429,016

13. Cash And Cash Equivalents

(A) Balance with Banks		
(i) Current Account	21 10 205	13,946
(ii) Fixed Deposit	5 00 000	NIL
(B) Cheques, drafts in hand		
(i) Cheques on hand	NIL	NIL
(ii) Drafts in hand	NIL	NIL
(C) Cash on hand	3 285	156
(D) Others	NIL	NIL
TOTAL	26 13 491	14 103
Note		
(1) Earmarked Bank Balances	NIL	NIL
(2) Bank balances held as margin money or as security against:	NIL	NIL
(3) Repatriation restrictions	NIL	NIL
(4) Bank Deposit with more than 12 months maturity	NIL	NIL

14. Short-Term Loans And Advances

(A) Loans and Advances to related parties	NIL	NIL
(B) Others		
(i) Secured and considered good	NIL	2 36 943
(ii) Unsecured, Considered good		
Deposits	NIL	NIL
Other Current Asset	NIL	NIL
(iii) Doubtful	NIL	NIL
Less: Allowance for bad and doubtful advances	NIL	NIL
Total (B)	NIL	2 36 943
Total [(A)+(B)]	NIL	2 36 943

Note: Loans and advances due by directors or officers of the company or any of them either severally or jointly with others or by firms or private companies respectively in which any director is a partner or a director or member

15. Revenue from Operations

Particulars	31.3.2012	31.3.2011
Software Development Income	34 95 000	NIL
Total	34 95 000	NIL

16. Other Income

(A) Interest income	NIL	NIL
(B) Tuition Fees for course offered	NIL	2,409 033
(C) Gain/Loss on sale of Investments	NIL	NIL
(D) Other income	NIL	118,711
Total (A)+(B)+(C)	NIL	25 27 744

17. Cost of Materials Consumed

Imported (0%)	NIL	NIL
Indigenous (100%)	NIL	NIL
Total	NIL	NIL

18. Employee Benefit Expenses

Salaries and wages	NIL	1,025,793
Contribution to PF,ESI and other funds	NIL	NIL
Directors Remuneration	9 00 000	268,269
Sitting fees for Directors	16 000	NIL
Staff Welfare Expenses	NIL	23,915
Total	9 16 000	13 17 977

19. Finance Costs

Interest Expense	NIL	NIL
Bank Charges	2 724	9,310
Transactions/translation	NIL	NIL
Total	2 724	9 310

20. Other Expenses

Rent	NIL	330,000
Printing & Stationery	4 579	71,071
Repairs and Maintenance Others	21 491	10,493
Electricity Charges	NIL	131,495
Income	NIL	1 500
Directors' Sitting Fees	NIL	11,000
Registration & Relisting Fees	NIL	452,069
Board Meeting Expenses	NIL	861
Legal & Consultancy Charges	43 11 877	265,890
Postage & Telephonic charges	5 527	151,057
Payment to statutory auditors:		
- As Auditors	28 090	27,575
- Taxation Matters	NIL	NIL
- Company law matters	NIL	NIL
- Management services	NIL	NIL
- Other services	NIL	NIL
- Reimbursement of expenses	NIL	NIL
Travelling and Conveyance	71 998	28,466
Business Promotion Expenses	NIL	7,700
Advertisement	3 240	607,650
Miscellaneous Expenses	NIL	18,329
Office Expenses	10 000	55,511
Bad Debts W/off	NIL	1,000
Total	44 56 802	21 71 667

21. Additional Information disclosed as per Part II of The Companies Act, 1956

Particulars	31.3.2012	31.3.2011
(i) Adjustment to the carrying amount of investments	NIL	NIL
(ii) Net gain/loss on foreign currency transaction and translation (other than considered as finance cost)	NIL	NIL
(iii) Value of imports calculated on CIF basis by the company during the financial year in	NIL	NIL
(iv) Expenditure in foreign currency during the financial year	NIL	NIL
(v) The amount remitted during the year in foreign currencies on account of dividends	NIL	NIL
(vi) Earnings in foreign exchange	NIL	NIL

Annexure I to Form 3CD for the year ended 31st March 2012

Particulars of Depreciation allowable as per Income Tax Act, 1961 in respect of each asset or block of

a) Description of Asset/Block of Assets	Building	Furniture & Fixtures	Motor Vehicles	Computer	Total
b) Rate of Depreciation	-	-	-	-	-
c) Actual-Cost/WDV as the case may be	-	-	-	-	-
d) Additions/deletions during the year with dates:					
(i) Addition of Asset					
Put use for 180 Days or More	-	-	-	-	-
Less than 180 Days	-	-	-	-	-
Total Addition	-	-	-	-	-
(ii) Date of addition of asset	As per Annexure 2011-12				
(iii) Deletion of Asset	-	-	-	-	-
(iv) Date of deletion of asset	-	-	-	-	-
Total Value	-	-	-	-	-
In the case of any addition, date of put to use: including adjustments on account of -					
(i) Modified value added tax credit claimed and allowed under the Central Excise Rules, 1944 in respect of assets acquired on or after 1st March 1994	NIL	NIL	NIL	NIL	-
(ii) Change in rate of exchange of currency	NIL	NIL	NIL	NIL	-
(iii) Subsidy or grant or reimbursement, by whatever name called.	NIL	NIL	NIL	NIL	-
e) Depreciation allowable	-	-	-	-	-
f) Written down value at the end of the year	-	-	-	-	-

Contingent Liabilities and Commitments

Particulars	As at 31.3.2012 Rs.	As at 31.3.2011 Rs.
(A) Contingent Liabilities		
(a) Claims against the company not acknowledged as debts	NIL	NIL
(b) Guarantees		
(c) Other money for which the company is contingently liable		
Total (A)	NIL	NIL
(B) Commitments		
(a) Estimated amount of contracts remaining to be executed on capital account and not provided for	NIL	NIL
(b) Un-called liability on shares and other investments partly paid	NIL	NIL
(c) Other commitments	NIL	NIL
Total (B)	NIL	NIL

**NOTES FORMING PART OF ACCOUNTS FOR THE YEAR ENDED
MARCH 31, 2012**

1. SIGNIFICANT ACCOUNTING POLICIES:

a. ACCOUNTING CONCEPTS

The Company follows mercantile system of accounting and recognizes income and expenses on accrual basis. Accounting policies not specifically referred to are consistent with Generally Accepted Accounting Principles as applicable followed in India.

b. REVENUE RECOGNITION

All expenses and income are accounted for on mercantile basis except accounting of relief, incentives and concessions, which are accounted for as and when the amounts finally receivable against these are ascertained.

c. FIXED ASSETS

Fixed Assets are stated at cost including taxes, freight and other incidental expenses incurred in relation to acquisition and installation of the same.

d. DEPRECIATION

Depreciation on all fixed assets have been provided on Written down value Method on pro-rata basis with respect to the month of additions of respective assets at the rates specified in Schedules XIII to the companies Act, 1956.

e. INVESTMENTS

Long Term Investments are stated at cost. Decline in value of long term investments, other than temporary is provided for.

f. INVENTORIES

Raw Materials, Bought out components, consumable stores and Spares are valued at cost.

RETIREMENT BENEFITS

As there were no employees in the Company at the year-end, no provision for gratuity/provident fund has been made in the books of accounts.

g. FOREIGN EXCHANGE TRANSACTIONS

There are no foreign exchange transactions.

h. LEASES

There is no lease transactions entered into by the company so far.

i. TAXATION

Provision for current tax, if any, is made in accordance with the provisions of Income tax Act, 1961. Current Tax is determined as the amount of tax payable in respect of taxable income for the period. Deferred tax is recognized, subject to the prudence, of timing differences, being the difference between taxable incomes and accounting income that originate in one period and are capable of reversal in one or more periods.

j. INTANGIBLE ASSETS

Intangible assets in the form of technical know-how and drawings are acquired from foreign collaborator and held for manufacture of new products. The cost of the same would be written off uniformly over a period of six years commencing from the year in which the new products using the technical know-how are manufactured.

k. EARNINGS PER SHARE

The company reports basic and diluted earnings per share in accordance with the Accounting Standard – 20 – 'Earnings Per Share'.

1. CONTINGENCIES

All liabilities have been provided for in the accounts except liabilities of a contingent nature, which have been disclosed at their estimated value in the Notes on accounts.

22. OTHER NOTES ON ACCOUNTS

1. During the year 1995 – 96 the Company re-issued 2,700 Equity shares, which were earlier forfeited. After re-issue of shares an amount of Rs.13,500/- has been transferred from Share Forfeiture Account of Capital Reserve Account.

2. The Company has entered into a Foreign Collaboration Agreement with M/s. Elin Union, Austria, for the transfer of Technical Know-how for the manufacture of isolators and Load Back Switches for which two instalments of the technical know-how fees has been paid. The company has received the technical know-how and the relevant drawings and specifications for the payments made.

3. Advance for capital expenditure represents the technical know-how fees paid to the foreign collaborator, restated at the exchange rate as on 31.03.2003 to represent the ruling market price at that point of time. No further revaluation was considered necessary during the current year. The amount spent for acquiring the technical know-how including all pre-operative expenses incurred for the same has been capitalized as on March 31, 2012. The utility of the technical knowhow or the products made out of the drawings (prepared a decade ago) to suit the current market requirements is not tested as it is a technical matter.

4. Earnings Per Share:

Net Profit/ (Loss) after tax (Rs.)	(18,80,526)	(996,027)
Weighted Average no. of Shares outstanding (Nos.)	18,33,014	12,50,000
Face value per equity share (Rs.)	10.00	10.00
Loss per share (both basic and diluted)	1.03	0.80

5. Quantitative Information: As the Company has been carrying on providing training on software animation courses which cannot be quantified in any measurable units and hence the quantitative information of the products dealt with by the company is not provided herein.

6. As there were employees in the company during the year, no provision for retirement cum death gratuity made.

7. Previous year figures have been regrouped/ restated wherever necessary to conform to the current year representation.

8. The Company has obtained confirmations of balances from all the debtors and creditors.

9. Disclosure under Micro, Small and Medium Enterprises Development Act, 2006

Under the Micro, Small & Medium Enterprises Development Act, 2006 (MS & MED) which came into force from October 02, 2006, certain disclosures are required to be made relating to Micro, Small & Medium Enterprises (MS&ME). On the basis of the information and records available with the Company, there are no amounts due to Micro and Small Enterprises as on 31.03.2012.

11. Other Accounting Standards

Related Party Transactions: There are no related party transactions during the year.

LIST OF RELATED PARTIES

Related parties with whom transactions have taken place during the year

Key Managerial Personnel / Individual Relatives

V. Lavakumar – Chairman

Rajendra Nani/Wadekar – Director

During the year the following transaction were carried out with related parties in the ordinary course of business

Sl No.	Nature of Transaction	Associated Individual Relatives		Key Managerial Personnel	
		31.03.2012	31.03.2011	31.03.2012	31.03.2011
	Transactions during the year				
1.	Director's Remuneration including gratuity	NIL	NIL	9,00,000	268,269
2.	Loan Taken	NIL	NIL	15,000	NIL
3.	Amount due to related parties	NIL	NIL	NIL	NIL
4.	Outstanding balance included in unsecured loan	NIL	NIL	XXX	5,381,135

12. **Segment Reporting:** As there was no activity in the Company other than providing computer software sales, there are no items to be reported under segment reporting.
13. **Deferred tax:** In the opinion of the company there is only deferred tax asset, consists of depreciation allowance and the company is not sure of getting the benefit of the same in future and hence the same not recognized.

03-11-12
Chennai

V. Lavakumar
Managing Director

Rajendra
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Director

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Mem. No. 21628